

Practical Tip:

You may deduct gratuity contributions from employee CTC. When an employee leaves before completing 5 years, you may choose to pay the amount as ex-gratia instead of paying as gratuity. The only difference is that Ex-gratia is taxable and Gratuity amount up to 20 Lacs is not taxable as of 2023.

3. ESIC or Insurance

We have already covered Insurance and ESIC under Health and Wellness in the second book of the HR Mastermind series. The contribution towards Insurance and **ESIC is generally shown as part of the CTC.**



4. Labour Welfare Fund (LWF)

Labor welfare is a statutory contribution implemented in 16 states and union territories out of 36. Most of the northern and eastern states do not have LWF. It is managed by state authorities.

The employee contribution amount ranges from INR 2 to INR 300 per annum. The employer contribution is one to four times of the employee contribution depending on the state. The Labour Welfare Board uses the fund for creating facilities for employees and their families.

